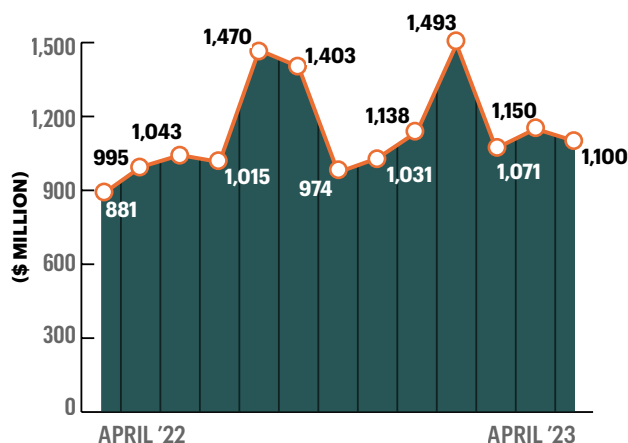


SURGE IN FOREIGN TRAVEL

Except for October, foreign remittance for travel has been over \$1 billion since June 2022



LRS REMITTANCE FOR TRAVEL

NOTE: THESE FIGURES ARE FOR OUTWARD REMITTANCE MADE UNDER THE LRS BY RESIDENT INDIVIDUALS FOR THE PURPOSE OF TRAVEL; **SOURCE** RBI

WHERE INDIANS ARE HEADED

The most-preferred foreign destinations



SOURCE ACKO REPORT

48% Respondents said they would raise their travel budget

GRAPHICS BY RAHUL SHARMA

and research firm YouGov suggests that this trend is set to continue. Nearly 31 per cent of respondents said they would take more international trips this year. The report, which surveyed people aged between 24 and 45 across seven major Indian cities, also found that around 48 per cent of them said they would increase their travel budget in the coming year.

Though the government has postponed the rule's implementation, the relief is temporary, because it will come into force on October 1.

So, it's imperative that you understand this tax.

Put simply, it is a tax collected by the agent from you when you book a tour package, and can be collected upfront. The agent then deposits it with the tax authorities. The rate of taxation is 5 per cent if the expenditure is below ₹7 lakh and 20 per cent for sums beyond that. It applies to foreign remittances made through the Liberalised Remittance Scheme (LRS), which allows resident Indians to remit money abroad every fiscal for travel, education, medical treatment, investment in foreign stocks, real estate, etc. The sum allowed is up to \$250,000 in a fiscal.

But TCS is not an additional tax; you can either adjust it against your total income tax liability or claim it back while filing income tax returns (ITR).

"There is no 'cost' per se for the traveller since he will get credit for the TCS. However, it may be a temporary cash flow issue, which may be adjusted against the quarterly advance tax liability. If the TCS exceeds the traveller's total tax liability in a financial year, he may claim a refund when filing income return," says Shruti K.P., Partner at IndusLaw.

So, say, you book your overseas tour package from domestic online travel agents or aggregators such as MakeMyTrip, OYO, EaseMyTrip, and Yatra, then the 20 per cent TCS will be levied after October 1.

Suppose you book a foreign tour package for a family trip after October 1, then 20 per cent TCS will be deducted if the package costs more than ₹7 lakh, unless you have booked it using an international credit card, which does not attract TCS. Let's take the example of a tour package for Switzerland that costs around ₹10 lakh. Here, the agent will collect TCS of 5 per cent on ₹7 lakh and 20 per cent on the remaining ₹3 lakh. If you add tax, then, the package will work out to ₹10.95 lakh, which means the TCS is ₹95,000.

BEAT THE LEVY

If you're not too pleased by the prospect of having to shell out more because of the tax, fear not, there are a few hacks that help you save on the levy.